

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) — Semester III Examination, 2016-17

Paper No. BCH-212: Business Economics - I

Time: 3 Hours

Maximum Marks: 70

Instructions: Answer all questions. All questions carry equal marks (14 marks each).

Question 1. Discuss the characteristics of Business Economics. How does Business Economics differ from Traditional Economics? [14]

OR

Explain the following: [14]

(i) Responsibilities of a Business Economist

(ii) Scope of Business Economics

Question 2. Explain the meaning and properties of an indifference curve. [14]

OR

Write a detailed note on the concept of equi-marginal utility. [14]

Question 3. Enunciate the law of demand. Describe the factors influencing demand. [14]

OR

Define elasticity of demand. How can it be measured? [14]

Question 4. What is the importance of demand forecasting for a businessman? Discuss the steps involved in forecasting. [14]

OR

Explain the various possible approaches for forecasting the demand for an established product. [14]

Question 5. Differentiate between the following: [14]

- (i) Fixed and Variable costs
- (ii) Historical and Replacement costs

OR

Describe clearly the external economies and diseconomies of the scale of production. [14]